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ECONOMICS

People as Resource

Economics
(NCERT Book)



The population is a resource for a country when managed efficiently. The features and qualities of the population are extremely essential factors which affect the economic and social position of a country.

However, in the present world, the economic power of a country is the most essential. To make a population more productive, unemployment and poverty have to be tackled.



What's Inside

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This chapter explains the population of a country as an asset to the economy rather than a liability. A population turns into human capital when a government invests in their education, training and medical care. This chapter enlists some ways to use population as an asset.

This chapter also refers to a country's working people in terms of their existing productive skills and abilities through various examples. It underlines the issue of unemployment and poverty that plague the country. Economic activities have been classified into various categories in this chapter.

TOPIC 1

HUMAN RESOURCE AND HUMAN CAPITAL

Learning Objectives

- Students will read more about the concept of human resources and human capital.
- Students will read about the Green Revolution and its impact on the country's economy.
- Students will understand more about the significance of human capital through various examples.
- Students will understand the significance of investment in human resources through the example of Japan.

Learning Outcomes

- Students will be able to enlist some ways to turn a population into human resources/human capital.
- Students will be able to enlist the impact of investments which were made to turn the population of a country into human capital.
- Students will be able to describe how a population can be made an asset to a country.

The population is an asset for the economy and not a liability. When investments are made by a country in education, training and medical care, the population becomes human capital.



Frequently Asked

- *Human capital refers to the stock of productive knowledge and skills embodied in the population.*

When a country's people (of the working age, 15-60 years group) in terms of their productive abilities and skills, they are referred to as a "resource". This productive aspect of the population emphasizes the population's ability

to contribute to the creation of the Gross National Product. Like any other resource, the population is a “human resource”. This is the positive benefit of having a large population.

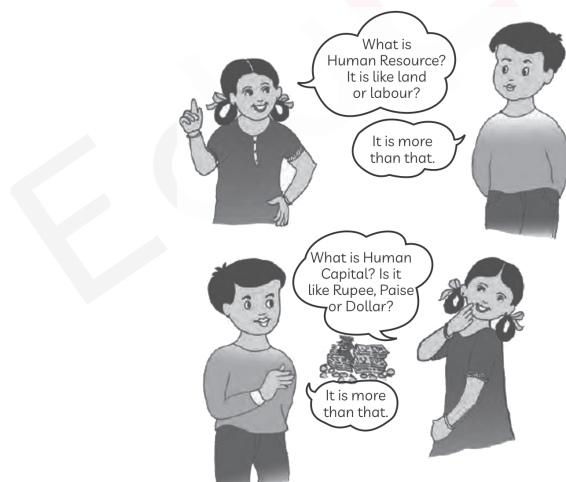
Usually, when one talks about a large population, they only underline the issues associated with it. These issues can be:

- (1) Dilemma of providing appropriate food, education and equitable access to health facilities across classes, communities and regions.
- (2) Issues of resource exploitation
- (3) Economic underdevelopment and the wage gap between the haves and have-nots in a society

The benefits of having a large population are often overlooked. The population can be made a resource (known as a human resource) by some investments in their education and health. This is called Human Capital Formation.

Human capital formation adds to the productivity of the country just like the physical capital formation.

Investments in human capital yield results just like investments in physical capital. A few ways in which investments can be made in human capital are education, training and medical care. More educated, better trained, and healthier people have better productivity which manifests directly in the forms of higher incomes earned by them.



Children discussing Human Capital and Human Resource

Green Revolution occurred in India roughly during the period 1960s–70s. In this revolution, the input of greater knowledge in the form of improved production technologies can rapidly increased the productivity of land resources. The IT revolution in India also exemplified how human capital is significant in comparison to physical capital like machinery, plants and materials.

Important

→ Green Revolution refers to the adoption of modern methods and techniques

like better irrigation facilities, pesticides, fertilizers, high-yielding varieties of seeds, tractors, etc., in agriculture which leads to an increase in agricultural production.

Society gains in many ways when people are better educated and healthier. Such benefits spread to those who themselves are not very educated and healthy by extension.

Important

→ It is popularly accepted that human capital is superior to other resources like land and physical capital because human resources can make good use of capital and land. Capital and land are useful resources.

India's population has always been considered a liability rather than an asset for many decades but it does not necessarily have to be a burden for the economy always. It can very well be turned into a productive asset by investments in human capital. This investment involves spending resources on the education and health of all, training of agricultural and industrial workers in the use of modern technologies and techniques.



Human Capital in various forms

Example 1. The above picture shows a tailor, an engineer, a teacher and a doctor. How do all of them contribute to the economy? How do they help in further human capital formation? [NCERT]

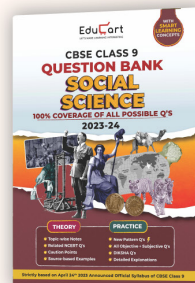
Ans. All four of the people shown in the above picture make money through their respective professions and spend it in the market. This way they engage in various economic activities.

- (1) A teacher teaches children and helps in further human capital formation by educating the upcoming generations of citizens.
- (2) A doctor provides healthcare facilities, thus, helping to improve the health of the Indian population.
- (3) An engineer provides services by designing roads and bridges. (If he is a civil engineer)
- (4) A tailor provides stitched clothes to people and thus, adds value to their life.



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Glossary

- (1) **National income:** It refers to the total amount of income accruing to a particular country from economic activities in a fixed period of time.
- (2) **Budget:** It refers to an estimation of revenues and expenses over a specific future period of time.
- (3) **Literate person:** In India, if a person aged seven or above can both read and write with understanding in any language, he is treated as a literate person.



OBJECTIVE Type Questions

[1 mark]

Multiple Choice Questions

1. Which of the following is not added to the National Income of the nation?

- (a) Service of a labour
- (b) Service of a housewife
- (c) Service of a doctor
- (d) Service of a cricket player [Diksha]

Ans. (b) Service of a housewife

Explanation: Services provided by a housewife in her domestic territory are not market activities. A housewife is not paid for the services that she provides. On the other hand, the services provided by doctors, labourers and cricket players are paid. Thus services of a housewife are not added to the national income of the nation.

2. Read the following passage and answer the questions that follow.

In Rampur, the institution mentioned in the given picture is functioning very well and provides excellent services to residents of the neighbouring regions. Multiple branches of the given institution are located in Rampur. Observe the given picture and choose the most likely consequence of this situation.



- (a) The quality of the population in Rampur will decrease.
- (b) Rampur will witness immense economic growth and development.
- (c) More people will come to live in Rampur.
- (d) The quality of the population in Rampur will improve.

Ans. (d) *The quality of the population in Rampur will improve.*

Explanation: The health of a person helps him to realise his/her potential and the ability to fight illness. He can work for a longer period of time and earn more income. Hence, the improvement in the health status of the population improves its quality. The given picture shows a health centre which provides health care services to the citizens. If it was functioning well along with other branches, it would mean that the health status of the people in Rampur will improve, hence contributing to their quality.

Related Theory

→ *Increase in life expectancy and improvement in child care are useful in assessing the future progress of the country. Increase in the longevity of life is an indicator of good quality of life.*

Fill in the Blanks

Fill in the blanks with suitable information.

3. GNP stands for

[Mod. Delhi Gov. QB 2022]

Ans. Gross National Product

Related Theory

→ *Productive population contributes to the creation of the Gross National Product. This is the positive side of a large population that is often overlooked.*

Correct and Rewrite/True or False

State whether the following statements are True or False. If False, correct the statement.

4. Literate and Healthy Population is an asset.

Ans. True

Explanation: It contributes to the economy of a nation. People who are healthy and educated can earn much more and for a longer period of time.

Assertion-Reason (A-R)

In the following questions, two statements in the form of an Assertion (A) and a Reason (R) have been put forward. Read both statements carefully and choose the most appropriate option:

(a) Both (A) and (R) are true and (R) is the correct explanation of (A).

- (b) Both (A) and (R) are true but (R) is not the correct explanation of (A).
(c) (A) is true but (R) is false.
(d) (A) is false but (R) is true.

5. Assertion (A): More educated and healthier people are a win-win for all.

Reason (R): The benefits of better education and health even spread to those who themselves are not very educated and healthy.

Ans. (a) Both (A) and (R) are true and (R) is the correct explanation of (A).

Explanation: A better-educated and healthier population is a win-win situation for all. Educated people can create goods and services for other citizens as well.

CASE BASED Questions (CBQs)

[4 & 5 marks]

Read the following passages and answer the questions that follow.

6. Various island countries have invested in human resources. They did not have any natural resources. These countries are developed/rich. They import the natural resources needed in their country. They have invested on people, especially in the field of education & health. These people have made efficient use of other resources, like land and capital.

(A) Which country is talked about in the above extract?

(B) Correct the following statement:

India imports the natural resources needed in the country.

(C) How are countries with low natural resources, developed/rich?

(D) Investment in people is done by investing in the field of:

- (a) Land and capital
- (b) Education and Health
- (c) Natural resources
- (d) Capital and Health

[Mod. Delhi Gov. QB 2022]

Ans. (A) The above extract talks about island countries like Japan which have invested heavily in their human resource.

(B) Japan imports the natural resources needed in the country.

(C) Countries which are rich despite low reserves of natural resources are so because:

- (1) They import the essential resources required for their sustenance.
- (2) They invest and strengthen their human resource which is much more beneficial than investing in physical resources because human resources are responsible for making efficient use of all other resources. If the human resource was not developed, not even the largest reserves of natural resources can contribute to the development of a nation.

(D)(b) *Education and health*

Explanation: Investing in education and health helps humans to earn better and for longer periods of time. They are able to work faster and more efficiently if they are skilled, educated and healthy.

VERY SHORT ANSWER Type Questions (VSA)

[1 mark]

7. What do you understand by “people as a resource”? [Diksha]

Ans. When we need to refer to a country's working people in terms of their productive abilities and skills, we refer to them as “people as a resource”.

SHORT ANSWER Type-I Questions (SA-I)

[2 marks]

8. What are the aims of the National policy on employment?

[Delhi Gov. QB 2022]

Ans. The aims of National policy on employment are as follows:

- (1) It aims at improving the accessibility of healthcare, family welfare and nutritional service with a special focus on the underprivileged segment of the population.
- (2) It also focuses on the universalisation of elementary education along with skill and vocational education among all communities across the country.

SHORT ANSWER Type-II Questions (SA-II)

[3 marks]

9. Why are domestic services of housewives not treated as economic activities? [Mod. Delhi Gov. QB 2022]

Ans. In India, most women generally look after their houses and manage their affairs (as a responsibility and contribution) as a consequence of their marriage. This is also because the sexual division of labour is heavily ingrained in the social fabric of Indian society.

- (1) They are conditioned to do so without drawing any income or remuneration for such jobs.
- (2) Such activities are performed out of concern, love and affection and no monetary transactions are involved in lieu of such services.
- (3) They do not add to the goods/services produced in the country as they are not sold in the market but are used for personal consumption. Hence, their contribution is not counted while calculating the GNP of the country.

LONG ANSWER Type Questions (LA)

[4 & 5 marks]

10. How can employability in any sector indicate the economic growth of any country? [Delhi Gov. QB 2022]

Ans. (1) There is a close relationship between employability in a sector with the developmental level of a country. Employability in each sector translates to different levels of economic growth for a country.

(2) If the majority of the population of a country is involved in the primary sector, which is labour-intensive and unrefined, the country is considered underdeveloped. This means that the country is still dependent upon its labour for its revenue and doesn't have the technology or lacks the capital to convert natural resources for mass consumption.

(3) If the maximum workforce is involved in the secondary sector, the country is considered to be developing. This is because growth in

manufacturing implies that the country has the capital to manufacture but its consumption levels are still low. The per capita income is moderate in such a country.

(4) If the majority of employability is in tertiary force, it means the country is developed. Its consumption levels are high due to high per capita income. The lifestyles of its citizens are refined and luxurious and demand the provision of expensive services.

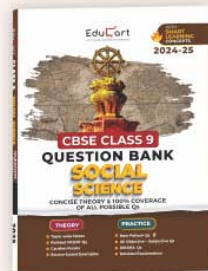
(5) Such countries observe a rise in banking and other financial facilities because their citizens have surplus income which they can invest.

Hence, the dependence of a country on its revenue in each sector means completely different things for a country.



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